



the compliance burden. There is a need to strike a balance. Now, that optimum balance is a matter of subjectivity, but when we sit together, we can always thrash it out.

Q: Do you agree that regulatory shifts over the past couple of years have made India less attractive to foreign portfolio investors (FPIs)? Can we expect something to reverse that?

A: FPIs have been a very important part of the capital market landscape. They have invested about \$800 billion in Indian markets—about \$700 billion in equity, \$68–69 billion in debt. The flows have gone up in the last five years. Of course, there have been some outflows recently. In any crisis, when there is such volatility and uncertainty, there is some churning. Notwithstanding that, our effort to is to take care of pain points. We have addressed many of them earlier. If there are other obstacles in terms of uncertainties that we create, or uncertainties due to economic, geo-political and geo-economic reasons, we are prepared to discuss with them.

Q: That's a very important statement from the Sebi chairman about the openness in listening to feedback from market participants. A couple of months ago, I was among the many who asked you about capital market taxation. Do you think it is an issue that policy makers in New Delhi need to reconsider?

A: Just a few moments ago, you said we should not have too much uncertainty. If some certainty has come in taxation, let's not unsettle it. We have to live with the taxation which, I think, is reasonable. MSCI US dollar returns over the last five years have been over 11%. For emerging markets, they are around 2% CAGR and for developed markets, minus 2%.

India has offered FPIs 11% US dollar returns in MSCI. And this with the taxation that we have. The taxation has been rationalised. We have to live with that taxation. Fundamentally, the Indian economy is sound. It is the fastest growing large economy with 6%-plus growth rate. We had a bit of a slowdown in the second quarter of the fiscal but growth picked up in the third quarter. Inflation is under control. We